



GNFR Indirect Spend MVP Product Vision Review

August 6, 2026



Agenda

- 01 KTD MVP Overview
- 02 **Parity Pulse Check:** KTD & Palantir
- 03 Parallel Data Prioritization Effort
- 04 KTD MVP Capabilities Walkthrough
- 05 What's Next
- 06 Appendix

Path to MVP Product Roadmap

July 28 Workshop

1

- Cross-functional session with business, data, and technology teams
- Shared conceptual prototype/demo of the internal solution
- Validated roadmap direction and milestone sequencing

Aug 3-6 Feedback Sessions

2

Follow-up sessions to delve deeper on requirements details & sequencing for MVP

- **Aug 3:** Demo feedback office hours with workshop participants
- **Aug 4-5:** Initial requirements reviewed with key business stakeholders
- **Aug 6:** Palantir solution demo overview

Today's Vision Review



Desired Outcome

Confirmed alignment on shared MVP vision across business, data, and tech to drive product roadmap:

- Product Roadmap review scheduled for **Thursday, Aug 13**

Workshop Participants & Feedback Providers

Workstream	Role	Name
Business	Enterprise Sourcing	Desiree Sova
Business	Enterprise Sourcing	Joe Lenahan
Business	Enterprise Sourcing	Elizabeth Kellogg
Business	Enterprise Sourcing	Misty Haas
Business	Enterprise Sourcing	Lindsay Kohlman
Business	Enterprise Sourcing	Cody Minella
Business	Supplier Team	Jordan Fife
Business	Supplier Team	Bethany Young
Business	Supplier Team	Kim Combs
Business	Sourcing Operations Management (Coupa)	Carlos Gomez
KTD	Portfolio Lead	Gina Ryan
KTD	Sourcing Lead	Pat Horne
KTD	SDTA Tech Lead	Nick Listerman
KTD	GNFR Design Lead	Amy Ringo
KTD	SDTA Product Manager	Matt Coleman
KTD	GNFR Program Manager	Rhonda Bullard
KTD	Coupa Product Manager	Marcy Ranieri
KTD	Coupa Tech Lead	Brad Cumbee
KTD	F&A Product Manager	Katie Bailey
KTD	Portfolio Agile Delivery Manager	Becky Shelestak
KTD	Training / Change Mgmt / Application Analyst	Stephanie Houck
84.51	Data Science & AI Lead	Bradley Boehmke
84.51	AI Strategy Lead	Lyndsey Padden

KTD MVP Overview



An **internally-owned** procurement intelligence platform that turns fragmented GNFR spend data into **actionable savings opportunities** for every Sourcing Associate

Capability	MVP	TBD	POST-MVP
Spend Visibility	Unified spend across Oracle AP, Coupa, EAA - drill by category, supplier, location	Managed vs. unmanaged filter	Persona-based views
Document Digitization	Line-item extraction from Coupa invoice and contract attachments	Contract extraction feasibility/scope (<i>new territory</i>)	- Expand Coupa attachments and invoice/contract types - Insurance tracking
Sourcing Automation	Catalog match, contract leakage, and supplier consolidation opportunities	Recommendation dollar threshold	- Market-rate benchmarking - Proactive recommendations - RFP assistance
Invoice Leakage	Rate compliance and contract exposure/expiration alerts	- Risk-tier rules - SLA detection (<i>depends on Document Digitization results</i>)	- Proactive stop-payment - Guided buying
Overall Experience	- Delivered as a web app - Coupa integration (<i>specific touchpoints still being defined</i>)	- User personas for design - Data refresh frequency - Configurable business rules without requiring a redeploy (<i>e.g. confidence threshold for flagging miscategorized spend</i>)	- Full admin/config controls - Coupa write-back integration - Pre-populate Epic project fields

Parity Pulse Check: KTD & Palantir

The KTD MVP solution build is planned for comparable capabilities with Palantir's pilot while creating an interface and user experience aligned to KTD and 84.51 standards and design systems

Parity Scope

- **Spend Visibility** – Unified view across Oracle AP, Coupa, EAA with drill-through, allowing for users to review and provide feedback on categorization logic
- **Sourcing Automation** – Catalog match, leakage, and consolidation recommendations
- **Invoice Compliance** – Rate, exposure, and expiration flagging
- **Conversational AI Component** – Chat sits on top of data model, allowing users to query recommendations, evidence, data directly
- **Document Review** - Access documents used for recommendations

Unique to KTD

- **Integration with Internal Systems (e.g. Coupa)** – Recommendations connect directly into existing workflows, so users can act without leaving the tool
- **Data Quality & Trust Signals** – Freshness and confidence flags on spend figures, so users know what to trust
- **Document Digitization** – Extracts line-item and contract-term detail from attachments

As requirements are shaped and design/build feedback cycles iterate, **KTD and Business leadership will manage program parity check-ins for the parallel builds**, including updates on the Negotiation Assistant workshops

MVP KTD MVP Capabilities Walkthrough

Four capability areas make up the MVP, acting as the building blocks for Kroger's internally-owned procurement solution

M1: SPEND VISIBILITY



Unified view of GNFR spend across Oracle AP, Coupa, and EAA
- see every dollar by category, supplier, and location, with contract coverage called out

M2: DOCUMENT DIGITIZATION



Extracts structured detail from invoice and contract attachments, turning summarized documents into usable line-item and contract-term data

M3: SOURCING AUTOMATION



Surfaces sourcing opportunities on spend that's already happened (ex. non-catalog matches, contract leakage, and supplier consolidation) for the sourcing team to act on

M4: INVOICE LEAKAGE



Flags invoices that don't match contracted terms, tracks contract exposure and expirations, and classifies risk using transparent business rules

OVERALL EXPERIENCE



Web app that integrates with Coupa, giving every Sourcing Associate a shared view they can filter and drill through; includes a conversational AI component for digging deeper into recommendations, evidence, or pulling additional data

Parallel Assessment: GNFR Indirect Data Source Prioritization

Initial view - WIP

Coupa, EAA, and Oracle AP anchor MVP. Ongoing effort to assess other sources for future integration based on: solution capabilities, curation feasibility, and business feedback on usage/value

Classification	Data Sources	Reasoning
MVP 3 sources	Coupa · Indirect Procurement · AP · Supplier Management EAA · Migration pending resolution of marketing/store allocation · No Coupa Equivalent today Oracle AP	- Each system in progress or available Coupa: Owned and in Databricks EAA: Eligible to move into Databricks Oracle AP: Data already in Databricks
Future Evaluation Needed 20+ sources	RIVERMINE (Tango Pay) · Telecom mgmt 100101 · Municipality/Gov tax PTMS · Property tax payments 340B · Federal pharmacy compliance LICENSEHQ · Store licenses & permits FMSBT · Consignment/SPT Model · No Coupa Equivalent yet EDI 810 (feed into M3) MATCHSTIX MAPS · Logistics routing VEBA · Union dues/pension HOVS · Decommission target SupplierConnect · Supplier portal RASCPROM / LCRGO / TLC INVOICE GATEWAY REMRENT · Real Estate / Lease mgmt Supplier Hub TAX · Tax engine IPAYABLES Legal Tracker EMPAC Manual Invoice Entry *Not an exhaustive list	- Parallel effort to prioritize remaining data sources - coordinating with the Sourcing team on business prioritization and KTD on ingestion feasibility - Sources in future evaluation due to: Superseded by Oracle AP - Oracle AP already provides equal or better detail than source system offers; likely not much to gain by integrating directly at this time Third-party, no current backend access - Oracle AP can provide some level of detail; the source system itself isn't currently accessible, though it remains a candidate for future exploration

Spend Visibility



Unified view of GNFR spend across Oracle AP, Coupa, and EAA

What it does:

1. Unified Spend Foundation

One complete view of spend across Oracle AP, Coupa, and EAA

2. Spend Categorization

Classifies spend using Coupa's category hierarchy, backed by additional signals where source data is weak

3. Ontology-Style Drill-Through

Same view for every user - drill from a portfolio total down to supplier, contract, and invoice

4. Data Quality & Trust Signals

Flags freshness and known issues so users know which numbers to trust

Data Sources for MVP:

Oracle AP (base layer - 100% of GNFR spend)

Coupa and EAA (augment Oracle AP with supplier, contract, and category detail where available)

MVP Focus

Single shared view for all users at MVP - manual filtering and drill-down; persona-based access to be explored post-MVP

Document Digitization

Turning invoice and contract attachments into usable data



What it does:

1. Coupa Invoice Extraction

Pulls line-item detail (item, quantity, price) from invoice attachments - not just a summarized total

2. Coupa Contract Extraction

Extracts pricing terms, max value, and SLA language from contracts, amendments, and SOWs

3. Output Quality & Structure Preservation

Flags low-confidence extraction so downstream capabilities aren't built on bad data

Data Sources for MVP:

Coupa invoice attachments

Coupa contract attachments (master agreements, amendments, child documents like SOWs)

MVP Focus

Coupa attachments only - invoices and contracts, not covering POs or other systems

Sourcing Automation



Finding sourcing opportunities on spend that's already happened

What it does:

1. Non-Catalog Spend with Catalog Equivalent Detection

Flags non-catalog purchases that match an existing catalog item, with savings quantified

2. Contract Leakage and Reroute Recommendations

Surfaces spend outside preferred contract coverage, with the dollar opportunity attached

3. Supplier Consolidation Opportunities

Flags when the same item is bought from multiple suppliers

4. Recommendation Feedback and Outlier Learning

Lets users dismiss false positives with a reason, so the system stops resurfacing them

Data Sources for MVP:

Coupa (items, suppliers, requisitions, contracts)

Spend Visibility layer as the underlying opportunity signal

MVP Focus

*Historic insights workbench for the Sourcing team,
focused on identifying opportunities after invoice receipt – not yet influencing purchasing decisions at the point of need*

Invoice Leakage

Catching invoices that don't match contracted terms



What it does:

1. Invoice-to-Contract Rate Compliance

Flags invoices where the vendor charged more than the contracted rate

2. Contract Maximum Value Exposure and Forecast

Flags spend approaching or projected to exceed a contract's max value

3. Contract Expiration and Auto-Renewal Alerting

Surfaces upcoming expirations and auto-renewals, sorted by category

4. Transparent Risk Classification

Classifies flagged issues by risk tier, using pre-defined business rules - not a black-box score

Data Sources for MVP:

Coupa (invoices, contracts, purchase orders)

Document Digitization outputs (extracted contract terms)

MVP Focus

Focused on PO-backed invoice insights (~80% of volume), with stop-payment and guided buying identified as future opportunities

Next Steps: Continued Feedback & Review Requested

August 2026

MONDAY	TUESDAY	WEDNESDAY	THURSDAY	FRIDAY
July 27	 KTD GNFR Product Onsite ²⁸  Post-workshop 84.51 & Coupa Product huddles	29	30	 Design Problem Framing / UX Prep ³¹
Iterate MVP Product Vision and Roadmap				
August 3	 Weekly Business Working Session ⁴	 Bi-Weekly Planning Working Session ⁵	 MVP Vision Review ⁶	 MVP Vision Sign-off ⁷
Iterate MVP Product Vision and Roadmap				
10	 Weekly Business Working Session ¹¹	12	 MVP Product Roadmap ¹³	14
User Interviews & Initial Designs				
				Functional Requirements
17	 Weekly Business Working Session ¹⁸	 Bi-Weekly Planning Working Session ¹⁹	 MVP Product Roadmap Finalization ²⁰	21
Functional Requirements				
				User Interaction Testing (Prototype Demo + Feedback)
24	 Weekly Business Working Session ²⁵	26	 Design & UX Review M1 Requirements Review ²⁷	 Design Approach & Requirements Sign-off ²⁸
User Interaction Testing (Prototype Demo + Feedback)				
31	 Weekly Business Working Session ^{Sept 1}	2	3	4

KEY:

Activity

 Major Event

 Design / Feedback

 Meeting

 Business Approval

Roadmap Walkthrough - What We're Covering

Initial view - WIP

Key phases and outcomes for MVP timeline and proposed approach for categorization taxonomy

Phase	Timeline	Key Outcomes
 Align, Design, & Enable	July 19 – September 14	- Confirm MVP use cases, workflows, personas, navigation, and risk rules; establish the agentic framework; complete AI and Cloud Governance approvals First formal design review planned for week of 9/14
 Create the Data Foundation	July 19 - October 26	- Curate Coupa and EAA through Silver/Gold with Oracle AP as the base layer - Establish the semantic layer; digitize invoice and contract data
 Build & Iteratively Validate Capabilities	September 14 - October 30	- Develop Spend Visibility, Sourcing Automation, Invoice Leakage, and the overall product experience through three review cycles - Test rules, recommendations, discrepancy detection, workflows, agent outputs
 Complete UAT & Integrated POC Validation	November 2 - November 20	- Complete UAT, validate the integrated data and application experience - Compare results with the parallel build - Confirm technical and operational readiness for the November go/no-go
 Prepare & Launch Limited Pilot	Late November - January 2027	- Identify pilot users, prep monitoring and support, return solution outputs to DBX - Subject to approval, conduct limited pilot with select category teams

Key Considerations

Timing: Any special considerations for testing during the busy season?

User Acceptance Testing vs. Iterative User Testing:

- Iterative User Testing:** Ongoing user feedback during design and dev to refine workflows and functionality
- UAT:** Formal validation against defined test cases and acceptance criteria that must be passed before a capability moves forward

Categorization Approach

For Discussion

Building a business-aligned taxonomy across all categories, while proving MVP capabilities work now

Our Understanding

1

Current Coupa hierarchy is **not preferred** as foundation for taxonomy in MVP Solution

2

Sourcing CoE presented preferred taxonomy (based on EPIC) that **better supports** business processes

3

Mid-Level (5 groups) →
Desk (4-7 groups per mid-level) →
Category (2-50* groups per desk)

*Display Fixtures & Equipment has most categories

Our Proposed Approach



Meet MVP use cases validation by November, while progressing towards establishing comprehensive business-preferred taxonomy for launch (starting in Jan, continuing into Q1 FY27)

Path to November Go/No Go

- Coordinate with Sourcing CoE to **confirm taxonomy**
- Begin taxonomy model build for all 5 mid-levels and map Coupa hierarchy (using any available document extracts)
- Present initial mapped model and identify 1 mid-level for iterative refinement & used for POC validation of Spend Visibility
 - *Focuses tech teams & category mgrs. cycles to finalize selected mid-level*
- In parallel to taxonomy model build, utilize Coupa hierarchy to build & test the other use cases – Sourcing Automation and Invoice Leakage
 - *De-risks timeline for Nov. POC review to prove functioning capabilities with real data*

January MVP Pilot Launch

- Launch MVP to production with 1 category for all use cases in January; then roll-out remaining 4 during Q1
 - *This also provides opportunity for enhancements*

Categorization Approach

Initial view - WIP

Building a business-aligned taxonomy across all categories, while proving MVP capabilities work now

Milestone	Detail	August	September	October	November	December	January
Business finalizes new taxonomy Now – August 21	- Category definitions and structure confirmed for all five categories by business (naming and scoping only) - Senior manager validation underway						
Build & train mapping model August 21 – November	- Mapping model built and trained for one category (e.g. Professional Services) - Sourcing Automation and Invoice Leakage capabilities proven on Coupa taxonomy in parallel						
Remapping demonstration November	Spend Visibility shows remapped view for one category (e.g. Professional Services) as proof of concept for the remapping capability						
Go/No-Go category assessment November - January	Accuracy/completeness assessed for single demonstrated category						
Phased rollout Post - January	Remapping extended to remaining four categories, one at a time, as each is individually finalized and trained						

Categorization Timeline

Estimating effort to build and validate the new taxonomy across all five mid-levels

Approach & Key Assumptions

Build and train a model for each of the 5 mid-levels in parallel, each with a dedicated Category Mgr team.

Timeline is driven by the bottleneck (i.e., Facilities, the largest at 167 categories) not the sum of all five.

- **2 category managers per mid-level** for evaluation
- **5 minutes per label reviewed**
- **10 labels per category**
- **4 hours/day allocated** per reviewer
- **3 review/retrain cycles**, with review time assumed to halve each cycle as quality improves
- **Facilities (bottleneck):** ~10 weeks
- **Smaller mid-levels:** ~5-6 weeks
- **Efficiency gains** (review time halving each cycle) is **assumed**; potential time to review may remain constant

Open to Assess

Taxonomy Categorization Effort

1. **User Feedback:** Biggest factor to de-risk timeline / shorten cycles – can we assess more CMs/mid-level and/or more dedicated time?
2. **Variability of Mid-Level:** Using averages for these estimates; biggest concern with Facilities, may need to train more
3. **Dev Team:** Let's revisit our team structure and assess how this categorization effort may impact the team needs
4. **Spend Visibility:** Labels will be presented to CMs via the spend visibility use case – may start in a sandbox to move quickly before moving into KTD designed prototype

Other AI Use Cases

1. AI use case build (Sourcing Automation, Invoice Leakage) not yet reflected in this timeline evaluation – challenge with building without a steady taxonomy
 1. Still push for Coupa taxonomy to allow parallel build?

GNFR Phase 2: Proposed Team Structure – 8/14/26 (NEW)

Legend:



Deloitte



Kroger



Onshore



Offshore



Staffed

Shared Resources

Program Manager
(Rhonda Bullard)



Kroger Data Architect
(Nick)



Agentic Delivery
Manager (Brad)



Data/AI Architect
(Siyang)



Data Source Prioritization Pod

Program Support



Data Analyst (Asha)



Product Pod

Product Manager
(Matt – Data)



Product Manager
(Dylan – AI Solution)



UX/UI Designer



Product Owner /
Analyst (Adrian Paez)



Data Foundation Pod

Delivery

Scrum Master (Trent)



Data Engineering by domain

Data Engineer 1
(Sudheendra)



Data Engineer 2
(Anwasha)



Data Engineer 3
(OCR)



Data Engineer 4
(Taxonomy)



Data Engineering Lead

Data Engineering
Lead (Shiva)



Data Engineering
Lead (Avinash)



Data Testing

Quality Eng 1
(OCR Validation)



Quality Eng 2
(Bhaves) (DB
Testing)



Quality Eng 3
(Nandakishor
e) (DB Testing)



Agentic AI Pod

AI Engineering by use case

AI Use Case Senior
Engineer (Hameed)



AI Use Case / Eval
Engineer 1



AI Use Case / Eval
Engineer 2



AI Use Case / Eval
Engineer 3



AI Evaluation / Eval
Engineer 4
(Sushameendra Rao)



AI Evaluation / Eval
Engineer 5



Delivery

Scrum Master (Victoria)



Architecture and Technical Lead

AI Tech Lead (Babak)



Platform Foundation

AI Platform Engineer
(Anirudh)



MCP / API Integration
Engineer (Nagashree)



DevOps Engineer
(Sukriti)



Appendix

Features for Post-MVP Consideration

M1: SPEND VISIBILITY

- **Persona-based auto-filtering** - system knows the logged-in user's category/scope without manual selection; no dataset ties users to categories today

M2: DOCUMENT DIGITIZATION

- **Insurance expiration tracking for suppliers** - system of record unclear
- **Resolve non-PO invoice matching approach** - PO-only for MVP
- **Coupa POs and other attachment types** - out of scope for MVP for Document Digitization

M3: SOURCING AUTOMATION

- **Market-rate benchmarking against Beroe market research** - not yet in Databricks, timing TBD
- **Capacity-based model** - available sourcing resources + \$1B/3-year savings target to reverse-engineer priority opportunities
- **Proactive sourcing recommendations** - belongs to a future centralized intake / guided buying front door
- **In-system RFP creation assistance** - auto-generate RFP questions, avoid forcing users into Coupa/Epic)

M4: INVOICE LEAKAGE / COMPLIANCE

- **Proactive stop-payment** - catching mismatch before payment; descope from MVP